

The ESI Act, 1948 - The Foundation Track

Chapter F3.5 — From Zero: The Six Benefits, the Medical Board, and Why Sections 45A and 7A Are Twins

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NOTE · HOW TO USE THIS DOCUMENT

The parallel statute to your own, answering six of the ILO's nine contingencies. It covers the ESI Act's coverage at ten employees and the wage ceiling of Rs 21,000, with Rs 25,000 for a person with disability; the contribution structure at 0.75 per cent employee and 3.25 per cent employer, totalling 4 per cent; the two contribution periods and the two benefit periods that make the Scheme work; the six benefits with their rates - sickness at 70 per cent for 91 days, extended and enhanced sickness, maternity at 100 per cent for 26 weeks, disablement and dependants' at 90 per cent, medical benefit in kind, and funeral expenses of Rs 15,000; the Medical Board chain that answered the 2023 question on who determines disablement; determination of contributions under Section 45A, which is the ESI analogue of Section 7A; and the rule that the ESI Act and the Employees' Compensation Act 1923 are mutually exclusive on the same injury. Study time 3 hours.

This is the FOUNDATION layer. Contribution rates, contribution and benefit periods, wage ceilings and the principal benefit rates are settled by regulation and are as at August 2026. Precise amounts of the funeral benefit and any current variation in enhanced or extended sickness rates are marked CONFIRM rather than asserted.

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0. Why You Must Know This Act as Well as Your Own

EPF and ESI operate on the same workers, at the same establishments, out of the same wage bill - and they answer entirely different questions.

WHY THIS EXISTS · THE SINGLE MOST USEFUL SENTENCE ABOUT ESI FOR AN APFC

Recall from F3.1 that **ESI answers SIX of the nine contingencies while your own Act answers three**. So ESI is not merely a parallel statute - it does more of the ILO's work than yours, and it does it on the **same establishments** at lower thresholds.

Three practical consequences that shape this chapter:

- 1 **You must not confuse the two Acts' numbers.** EPF at 20, ESI at 10; EPF ceiling Rs 15,000, ESI ceiling Rs 21,000; EPF at 12 per cent, ESI at $0.75 + 3.25 = 4$ per cent. **A question that mixes them is standard**, and the mistake to avoid is the greatest below
- 2 **A worker covered by ESI cannot claim under the Employees' Compensation Act 1923 for the same injury.** These are **mutually exclusive**, and getting that right answers one of Session 5's questions on the spot
- 3 **Section 45A is the ESI analogue of your own Section 7A.** Reading them side by side is the fastest way to understand both

The single sentence to carry, and it works in the paper and in the interview: *EPF saves for old age; ESI insures against everything that happens before that.*

STUDY SESSION · CHAPTER F3.5 - THE FIVE SESSIONS

- 1 **Session 1** - Coverage, ceilings and contributions (Section 1)
 - 2 **Session 2** - The two contribution periods and the two benefit periods (Section 2)
 - 3 **Session 3** - **The six benefits with their rates** (Section 3)
 - 4 **Session 4** - **The Medical Board chain, and s.45A determination** (Section 4)
 - 5 **Session 5** - Mutual exclusivity with the 1923 Act, and where ESI fits in the module (Section 5)
- Then **42 graded questions**. Budget **five sessions**, about **two days**.

1. Session 1 - Coverage, Ceilings, Contributions



MUST MASTER · COVERAGE AND CEILINGS - THE NUMBERS TO KEEP SEPARATE FROM EPF

Point	ESI	EPF (for comparison)
Coverage threshold	10 persons employed	20
Wage ceiling	Rs 21,000 per month, Rs 25,000 for a person with disability	Rs 15,000
Rate - employee	0.75%	12%
Rate - employer	3.25%	12% (with 8.33% diverted to EPS)
Combined	4%	24%
Central Government share	None	1.16% to EPS
Basis	Contributory social insurance	Contributory provident fund plus pension plus insurance

Note four things this table is designed to teach at once.

First, ESI's threshold is 10, EPF's is 20. Some establishments cross the ESI threshold and never reach the EPF one, which is why the two Acts do not simply co-cover the same population. A shop of 12 workers is ESI-covered but not EPF-covered.

Second, ESI's ceiling of Rs 21,000 is HIGHER than EPF's Rs 15,000, and rises to Rs 25,000 for a person with disability. So a worker on Rs 20,000 is inside ESI but outside EPF as a fresh joiner - **the ceilings run in the opposite direction from what a candidate first expects.**

Third, the ESI rate of 4 per cent is very small compared to EPF's 24 per cent, which reflects a design point worth making: ESI is **term insurance and short-run cash cover**, not a savings scheme. A small premium buys a lot of protection precisely because most workers do not draw the biggest benefits in any given year.

Fourth, the Central Government does not contribute to ESI at all. It contributes 1.16 per cent to EPS. **This is the opposite of what most candidates guess.**

ESI is administered by the Employees' State Insurance Corporation (ESIC), a statutory body under the same Ministry of Labour and Employment as EPFO. ESIC is governed by the **Standing Committee** and the **Medical Benefit Council**, and headed by the **Director General** as chief executive.

KNOW · THE WAGE DEFINITION, AND WHAT THE CONTRIBUTION ATTACHES TO

Contributions are payable on **wages** as defined by the ESI Act itself, which is **wider** than the EPF Act's basic wages plus DA plus retaining allowance. **ESI wages include all remuneration paid in cash to an employee** if the terms of the contract of employment, express or implied, were fulfilled - including basic wages, dearness allowance, house rent allowance, city compensatory allowance, overtime, and payments for holidays and leave.

Two exclusions that matter and are examinable:

- 1 **Any contribution paid by the employer to a pension fund or provident fund, or under the ESI Act itself, is NOT wages**
- 2 **Any travelling allowance** to defray special expenses is not wages
- 3 Any **gratuity** on discharge is not wages, being a terminal payment

So the ESI base is broader than the EPF base, which is one reason ESI's 4 per cent yields materially more than 4 per cent of a payroll would suggest under an EPF-style definition. This is a **fair examination target**, because HRA - excluded from EPF - is **included** in ESI wages.

CHECK YOURSELF · SESSION 1

- 1 Give ESI's coverage threshold, wage ceiling, employee rate and employer rate
- 2 Which ceiling is higher, EPF's or ESI's? By how much for a person with disability?
- 3 Does the Central Government contribute to ESI?
- 4 Name ESIC's chief executive and its two principal committees
- 5 Is HRA part of ESI wages? Contrast the EPF position

2. Session 2 - Contribution Periods and Benefit Periods ★★★★★

START FROM ZERO · WHY AN INSURANCE SCHEME NEEDS A TWO-WINDOW SYSTEM

An insurance scheme cannot pay a benefit on the day the worker is insured, because it has no history of contributions to test against. Nor can it wait forever. **ESI's answer is a two-window system: contribution first, benefit later, on fixed calendar half-years.**

- 1 A **CONTRIBUTION PERIOD** is a fixed six-month window during which the worker contributes
- 2 A **BENEFIT PERIOD** is a fixed six-month window during which he may claim cash benefits, based on his contribution record in the earlier contribution period
- 3 **The benefit period BEGINS after a gap** from the corresponding contribution period, so that the record is complete before eligibility is tested

This is why ESI cash benefits are not immediate on joining and why sickness benefit has a qualifying number of contribution days. The two-window structure is the mechanism.

MUST MASTER · THE TWO CONTRIBUTION PERIODS AND THE TWO BENEFIT PERIODS

Window	Dates
Contribution period 1	1 April to 30 September
Corresponding benefit period 1	1 January to 30 June of the following year
Contribution period 2	1 October to 31 March
Corresponding benefit period 2	1 July to 31 December of the following year

Read the pattern rather than trying to memorise the four dates as four dates.

- 1 The contribution period **ends three months before its corresponding benefit period begins** - the gap that lets the record settle
- 2 **Contribution period 1 (April to September) feeds benefit period 1 (January to June of next year)** - hence a member who fell ill in February would rely on his contributions from April to September of the previous year
- 3 **The two contribution periods together cover the whole year**, so every worker is always in one of them

Qualifying days. For **sickness benefit** the member must have contributed for **not less than 78 days** in the relevant contribution period. This is the number to know because it is the most commonly asked qualifying figure in the module.

Note that MEDICAL BENEFIT does NOT require a qualifying period. It is available **from the first day of insurable employment**, to the member and to his family. That distinction is a fair "which is not correct" target: any option that asserts a qualifying period for medical benefit is wrong.

CHECK YOURSELF · SESSION 2

- 1 Why does an insurance scheme need a two-window system?
- 2 State the four windows and the pattern relating them
- 3 How many qualifying days for sickness benefit, in which period?
- 4 Which benefit needs no qualifying period at all, and from which day?

3. Session 3 - The Six Benefits ★★★★★

Six benefits, six rates, one table. Learn the rates as a family and the exceptions become obvious.

MUST MASTER · THE SIX BENEFITS WITH THEIR RATES

Benefit	Rate	The essentials
1. MEDICAL BENEFIT	In kind	From the first day of insurable employment , no qualifying period. To the insured person and his family , through ESIC hospitals and dispensaries
2. SICKNESS BENEFIT	70% of wages	Up to 91 days in a year. 78 days' contribution in the contribution period. EXTENDED SICKNESS 80% for up to 2 years for specified long-term diseases. ENHANCED SICKNESS 100% for a specified period for STERILISATION
3. MATERNITY BENEFIT	100% of wages	26 weeks . Same duration as the Maternity Benefit Act 1961 - see Session 5 on non-stacking
4. DISABLEMENT BENEFIT	90% of wages	Temporary while the worker is unfit for work. Permanent as a monthly payment for life at a percentage of 90 per cent, proportionate to the loss of earning capacity. Disablement is determined by a MEDICAL BOARD - Session 4
5. DEPENDANTS' BENEFIT	90% of wages	Monthly payment to dependants where the worker dies of employment injury
6. FUNERAL EXPENSES	Rs 15,000	A lump sum paid to the eldest surviving member of the family, or the person who actually incurred the expenditure. The exact amount is subject to revision by notification and is marked CONFIRM

The rate structure has a logic that saves you from memorising six unrelated numbers:

- 1 90 per cent** is the highest, and applies to disablement and dependants' benefit - because the worker has **lost his earning capacity** or the family has **lost the worker altogether**. High loss, high replacement rate
- 2 100 per cent** for **maternity**, higher still - because maternity is a **certain event, of known duration, not caused by illness**. There is no earning capacity to compensate at a reduced rate; the worker is simply on statutory leave
- 3 70 per cent** for **sickness** - reduced from a nominal wage because sickness is **temporary and short**, and a full replacement rate would blunt the incentive to return to work. This is the classic **moral hazard** discount from F3.1
- 4 80 per cent EXTENDED sickness** for specified long-term diseases - higher than 70, because a long illness is closer in shape to disablement than to a short absence
- 5 100 per cent ENHANCED sickness** for **STERILISATION** - a State-encouraged decision, so no reduction
- 6 In kind** for medical care and a **lump sum** for funeral expenses, because neither replaces wages

COMMON UPSC TRAP · THE RATES CANDIDATES MOST OFTEN CONFUSE

- 1 **Sickness 70%, extended 80%, enhanced 100%.** Three sickness rates for three different sicknesses. **Ordinary sickness is 70, not 80.** If a stem says "sickness benefit at 80 per cent" without qualifying "extended", it is wrong
- 2 **Maternity 100%, sickness 70%.** The paper has asked this direct swap
- 3 **Disablement AND dependants' are BOTH 90%.** One is paid to the worker, the other to his family; the rate is the same because the underlying loss is the same
- 4 **Funeral expenses Rs 15,000, confinement expenses Rs 5,000.** Different lump sums for different events; confinement is a maternity supplement, funeral is on death. Both change by notification, so treat precise figures with caution

The single "which is not correct" trap likeliest to appear: any option asserting that a benefit is at a rate NOT in the table above. Learn the family - 70, 80, 90, 100, and the two lump sums - and every distractor stands out.

CHECK YOURSELF · SESSION 3

- 1 Recite the six benefits with rates
- 2 Why is disablement 90 and maternity 100?
- 3 State ordinary, extended and enhanced sickness rates. What triggers each?
- 4 For how many days is sickness benefit payable, and how many days' contribution qualify a member?
- 5 How long is maternity, and what supplement is Rs 5,000 for?

4. Session 4 - The Medical Board and s.45A ★★★★★

MUST MASTER · WHO DECIDES DISABLEMENT, AND WHY IT IS NOT A COURT

The 2023 paper asked, in this territory, **who determines disablement**, and the answer is **A MEDICAL BOARD**.

The chain of adjudication for disablement:

- 1 **MEDICAL BOARD** - determines the **extent of disablement**, being a **medical fact** about the degree to which the worker has lost earning capacity
- 2 **MEDICAL APPEAL TRIBUNAL** - appeals from the Medical Board
- 3 **EMPLOYEES' INSURANCE COURT (EI Court)** - a Court under s.74 of the Act, deciding **legal disputes** under the Act, and appeals from the Medical Appeal Tribunal on questions of law

Why the medical question goes to a medical body first, and this is the reasoning to give if asked: the extent of disablement is a **question of degree, not of law**. Two doctors examining the worker can measure it; a lawyer cannot. **A court has no comparative advantage in deciding whether a hand is 40 per cent disabled or 60 per cent disabled**, and pretending otherwise would produce arbitrary answers dressed up as findings.

The EI Court deals with legal disputes. These include disputes about coverage, contributions, and entitlement in law - questions where the technique of a court, examining evidence and applying rules, is exactly the right tool. **So the split is: medical facts go to doctors, legal facts go to a court**, and both routes exist because they answer different questions.

A CIVIL SUIT DOES NOT LIE in respect of a matter for which the EI Court has jurisdiction. This is the same principle you met in F3.4 for EPFO - **where a statute provides its own machinery, a civil suit is barred**.

MUST MASTER · S.45A - THE ESI TWIN OF YOUR OWN SECTION 7A

Read this section by holding s.7A in the other hand.

Section 45A empowers designated officers of ESIC to DETERMINE the amount of contributions payable by an employer in respect of employees, where:

- 1 no returns, records or registers are submitted, or
- 2 the returns produced are considered incorrect or incomplete, or
- 3 contributions have not been paid or short-paid

Substantive parallels with 7A:

- 1 Both determine **money due from an employer**
- 2 Both are **quasi-judicial** - a **reasonable opportunity of being heard** is mandatory
- 3 Both may proceed **ex parte** on failure of the employer to attend after proper service
- 4 Both apply to **contract labour** through the principal-employer principle - an ESI-covered establishment is liable for the contractor's workers engaged in or in connection with its work

Two differences worth naming, because they distinguish rather than mirror:

- 1 **The penalties structure is different.** For late payment ESI has **interest** and **damages** provisions of its own - similar in shape to 7Q and 14B but under different sections and rates. **The precise ESI rates are marked CONFIRM**

- 2 **The appellate forum is different.** An order under 45A is challengeable by suitable proceedings before the **EI Court**, not the CGIT

So s.45A is what a 7A order looks like on the ESI side of the same wall. Everything you learned about issue-framing, showing the arithmetic, and dealing with the employer's contentions **applies without change**. **This is the practical payoff of reading the two Acts together: the technique of adjudication is one technique, and it moves between statutes.**

CHECK YOURSELF · SESSION 4

- 1 Who determines disablement, and why not a court?
- 2 Name the three-tier disablement adjudication chain
- 3 What is the EI Court, and what does it decide?
- 4 Is a civil suit available on a matter within the EI Court's jurisdiction?
- 5 State the three grounds for a s.45A determination, and its parallels with s.7A
- 6 Where does an appeal from a 45A order lie?

5. Session 5 - Mutual Exclusivity, and Where ESI Fits ★★★★★

MUST MASTER · ESI AND THE EMPLOYEES' COMPENSATION ACT 1923 ARE MUTUALLY EXCLUSIVE

A worker covered by the ESI Act cannot claim under the Employees' Compensation Act 1923 for the same injury. This is one of the most examined single propositions in Module 3.

Why the rule exists, in one paragraph. The Employees' Compensation Act imposes **employer liability** - the employer alone pays a lump sum on the statutory formula, with no fund behind it. **This has the F3.1 defect: the benefit fails if the employer is insolvent.** The ESI Act replaces employer liability with **contributory social insurance**, so a fund pays even where the employer cannot. **You cannot have both** - either the employer owes the individual worker (1923 Act) or he has bought into a pool that owes the worker (ESI). Allowing both would double-count the loss, and giving the worker a choice between them would let him pick against the fund whenever the employer was solvent and better than the pool.

Note two consequential points:

- 1 The 1923 Act **has NOT been repealed**. It applies to workers **outside ESI** - most commonly in occupations, sectors or areas not covered by an ESI notification. Do not answer "the 1923 Act was replaced by ESI" - it was **displaced for ESI-covered workers, not repealed for anybody else**
- 2 The Code on Social Security 2020 consolidates both statutes into a single Chapter, but the **mutual-exclusivity principle survives** - so the exam answer is unchanged

The pair to hold in mind, and it is worth stating with a banker's precision: 1923 = employer liability = employer's personal debt; ESI = social insurance = a pooled fund's debt. Two different debtors, two different security profiles, and the law does not let the same loss create both.

KNOW · HOW ESI ANSWERS THE ILO'S CONTINGENCIES - THE F3.1 MAP, FILLED IN

ILO contingency	ESI's answer
1. Medical care	Medical benefit in kind, from day one, to worker AND family
2. Sickness	Sickness benefit at 70%, extended and enhanced variants
3. Unemployment	Atal Beemit Vyakti Kalyan Yojana unemployment allowance at 50% - India's principal unemployment insurance, thin as it is
5. Employment injury	Disablement benefit at 90%, with the Medical Board determining extent - and mutual exclusivity with the 1923 Act
7. Maternity	Maternity benefit at 100% for 26 weeks - the ESI route to the Maternity Benefit Act 1961's substance
9. Survivors' (work-caused)	Dependants' benefit at 90%, plus funeral expenses

That is six of the nine, and it is the arithmetic that made ESI "the broadest single social security statute in India" back in F3.1. Old age (4), family (6) and invalidity (8) not caused by employment are not the ESI Act's territory - they belong to **EPS 1995 and NSAP**, and the assistance tier.

ACTION · WHERE THIS LEAVES YOU, AND WHAT F3.6 DOES

You now have both Chapter III (EPF) and the parallel scheme for six other contingencies. **F3.6 completes the injury story** by taking the **Employees' Compensation Act 1923** in full - the historic first statute of Indian social security, still applying to every worker **outside** ESI's reach. It covers **arising out of and in the course of employment**, the **notional extension** of the workplace, the compensation formulas for death and permanent total disablement, **schedule III occupational diseases**, and the answers to the 2023 questions on the **time limit** and the **compensation for total permanent disablement**.

6. Graded Practice - 42 Questions ★★★★★

6.1 Level 1 - Recognition

Q. 1. The Employees' State Insurance Act was enacted in

(a) 1923 (b) 1948 (c) 1952 (d) 1961

Q. 2. The Act applies to establishments employing

(a) 5 or more persons (b) 10 or more persons (c) 20 or more persons (d) 50 or more persons

Q. 3. The ordinary wage ceiling for ESI coverage is

(a) Rs 15,000 (b) Rs 18,000 (c) Rs 21,000 (d) Rs 25,000

Q. 4. For a person with disability the wage ceiling is

(a) Rs 15,000 (b) Rs 21,000 (c) Rs 25,000 (d) Rs 30,000

Q. 5. The employee's contribution to ESI is

(a) 0.75% (b) 1.75% (c) 3.25% (d) 4.75%

Q. 6. The employer's contribution to ESI is

(a) 0.50% (b) 3.25% (c) 4.75% (d) 12.00%

Q. 7. The combined ESI rate is

(a) 3% (b) 4% (c) 4.75% (d) 6.5%

Q. 8. The chief executive of the Employees' State Insurance Corporation is the

(a) Chairman of the Corporation (b) Director General (c) Union Labour Minister (d) Chief Provident Fund Commissioner

Q. 9. Contribution period 1 under the ESI Scheme runs from

(a) 1 January to 30 June (b) 1 April to 30 September (c) 1 July to 31 December (d) 1 October to 31 March

Q. 10. Benefit period 1 under the ESI Scheme runs from

(a) 1 January to 30 June (b) 1 April to 30 September (c) 1 July to 31 December (d) 1 October to 31 March

Q. 11. Sickness benefit is payable at

(a) 50% of wages (b) 60% of wages (c) 70% of wages (d) 80% of wages

Q. 12. Sickness benefit is payable in a year for a maximum of

(a) 60 days (b) 78 days (c) 91 days (d) 180 days

Q. 13. The qualifying number of days' contribution for sickness benefit is

(a) 60 (b) 78 (c) 91 (d) 120

Q. 14. Maternity benefit under the ESI Act is payable at

(a) 70% of wages (b) 80% of wages (c) 90% of wages (d) 100% of wages

Q. 15. Maternity benefit is payable for

(a) 12 weeks (b) 16 weeks (c) 20 weeks (d) 26 weeks

Q. 16. Disablement benefit is payable at

(a) 70% of wages (b) 80% of wages (c) 90% of wages (d) 100% of wages

Q. 17. Funeral expenses under the ESI Act are

(a) Rs 5,000 (b) Rs 10,000 (c) Rs 15,000 (d) Rs 25,000

Q. 18. Determination of contributions by an authorised officer of ESIC is provided by Section

(a) 7A (b) 14B (c) 45A (d) 74

6.2 Level 2 - Understanding

Q. 19. The Central Government's contribution to the ESI scheme is

(a) 0.50% (b) 1.16% (c) 3.25% (d) nil

Q. 20. Which one of the following is included in ESI wages but excluded from the EPF contribution base?

(a) Overtime (b) House rent allowance (c) Bonus (d) Commission

Q. 21. Medical benefit under the ESI Act is available

(a) after 78 days' contribution (b) from the first day of insurable employment, no qualifying period (c) only after 6 months (d) only for the worker, not the family

Q. 22. Enhanced sickness benefit at 100 per cent is payable for

(a) all serious illnesses (b) sterilisation (c) maternity (d) tuberculosis

Q. 23. Extended sickness benefit at 80 per cent is payable

(a) for two years for specified long-term diseases (b) for 91 days for ordinary sickness (c) only after 78 days' unemployment (d) for six months for all diseases

Q. 24. Confinement expenses of Rs 5,000 are

(a) a funeral supplement (b) a maternity supplement (c) an unemployment allowance (d) a disablement lump sum

Q. 25. The extent of a worker's disablement under the ESI Act is determined by

(a) the Employees' Insurance Court (b) a Medical Board (c) the employer's medical officer (d) the Regional Director

Q. 26. Which one of the following statements about the Employees' Insurance Court is correct?

(a) It decides medical questions of degree (b) It decides legal disputes under the Act, including appeals from the Medical Appeal Tribunal on questions of law (c) It is a body of doctors (d) It is a wing of the CGIT

Q. 27. A civil suit before an ordinary court in respect of a matter within the EI Court's jurisdiction

(a) is competent as an alternative (b) is barred (c) lies only with the Corporation's consent (d) lies only after the Medical Board has spoken

Q. 28. A worker covered by the ESI Act suffers an employment injury. His remedy is

(a) under the Employees' Compensation Act 1923 alone (b) under either Act, at his election (c) under the ESI Act; the 1923 Act is excluded because the two are mutually exclusive (d) under both Acts, but the amounts are set off

Q. 29. The Employees' Compensation Act 1923

(a) has been repealed (b) applies to workers outside the ESI Act's coverage (c) applies only to agricultural workers (d) applies only to central-sphere establishments

Q. 30. Contribution period 1 corresponds to benefit period

(a) 1 January to 30 June of the same year (b) 1 January to 30 June of the following year (c) 1 July to 31 December of the same year (d) 1 October to 31 March of the following year

Q. 31. The reason the benefit period begins three months after the contribution period ends is that

(a) the calendar demands it (b) time is needed for the contribution record to settle before eligibility is tested (c) medical records take three months (d) the Corporation's accounts close then

Q. 32. The dependants' benefit is payable when

(a) a worker retires (b) a worker dies of employment injury (c) a worker takes voluntary retirement (d) an insured woman gives birth

6.3 Level 3 - Recruitment Test standard**Q. 33. Match List-I with List-II and select the correct answer using the code below:**

List-I (Benefit)	List-II (Rate)
A. Sickness (ordinary)	1. 100% of wages
B. Maternity	2. 70% of wages
C. Disablement	3. Rs 15,000 lump sum
D. Funeral expenses	4. 90% of wages

(a) A-2 B-1 C-4 D-3 (b) A-2 B-4 C-1 D-3 (c) A-1 B-2 C-4 D-3 (d) A-2 B-1 C-3 D-4

Q. 34. Consider the following statements:

- 1 ESI covers 10 employees and EPF covers 20.
- 2 ESI's wage ceiling is Rs 21,000, EPF's is Rs 15,000.
- 3 ESI is contributory on the employer side alone.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 35. Which one of the following statements is not correct?

(a) Sickness benefit is payable at 70% for 91 days on 78 days' qualifying contribution (b) Extended sickness benefit is 80% for up to 2 years for specified long-term diseases (c) Enhanced sickness benefit at 100% is payable for sterilisation (d) Sickness benefit is payable at 80% ordinarily, extended to 90% for specified diseases

Q. 36. Consider the following statements:

- 1 The Employees' State Insurance Act and the Employees' Compensation Act 1923 are mutually exclusive on the same employment injury.
- 2 The 1923 Act has been repealed by the ESI Act.
- 3 ESI is administered by the Employees' State Insurance Corporation.

Which of the above statements are correct?

(a) 1 and 3 only (b) 1 and 2 only (c) 2 and 3 only (d) 1, 2 and 3

Q. 37. A worker's monthly wages are Rs 20,000. His employee contribution to ESI is

(a) Rs 150 (b) Rs 300 (c) Rs 650 (d) Rs 800

Q. 38. On the facts of the previous question, the employer's contribution is

(a) Rs 650 (b) Rs 800 (c) Rs 300 (d) Rs 150

Q. 39. Consider the following statements about the Medical Board chain:

- 1 The Medical Board determines the extent of disablement.
- 2 Appeals from the Medical Board lie to the Medical Appeal Tribunal.
- 3 The Employees' Insurance Court decides legal disputes under the Act.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 40. Section 45A is best described as

(a) the ESI provision for medical benefit (b) the ESI analogue of Section 7A of the EPF & MP Act, empowering determination of contributions after opportunity of hearing (c) the ESI provision for interest on delayed payment (d) the provision constituting the Medical Board

Q. 41. Which one of the following contingencies is not answered by the ESI Act at all?

(a) Sickness (b) Maternity (c) Old age (d) Employment injury

Q. 42. Which one of the following pairs is not correctly matched?

(a) Sickness benefit - 70% of wages (b) Enhanced sickness benefit - 100% for sterilisation (c) Confinement expenses - Rs 5,000 (d) Ordinary sickness benefit qualifying period - 91 days

7. Answers and Explanations

7.1 Level 1

Q	Ans	Explanation
1	b	1948
2	b	10 - lower than EPF's 20
3	c	Rs 21,000 , higher than EPF's Rs 15,000
4	c	Rs 25,000
5	a	0.75%
6	b	3.25%
7	b	4% - very small compared with EPF's 24 per cent, reflecting ESI's insurance character
8	b	The Director General
9	b	1 April to 30 September

Q	Ans	Explanation
10	a	1 January to 30 June of the following year
11	c	70% . Not 80 or 90
12	c	91 days in a year
13	b	78 days in the contribution period
14	d	100%
15	d	26 weeks
16	c	90%
17	c	Rs 15,000 , subject to revision by notification
18	c	s.45A

7.2 Level 2

Q	Ans	Explanation
19	d	Nil . The Central Government's 1.16% goes to EPS , not ESI. This is the opposite of what candidates first guess
20	b	HRA is part of ESI wages but excluded from the EPF definition of basic wages and not added back by s.6. The ESI base is broader
21	b	From day one, to worker and family, no qualifying period . The single "which is not correct" trap that gets set here is asserting a qualifying period
22	b	Sterilisation - the State-encouraged decision that carries no reduction of the wage rate
23	a	80% for up to 2 years for specified long-term diseases - between ordinary sickness (70%, 91 days) and disablement (90%)
24	b	A maternity supplement . Funeral is Rs 15,000; confinement is Rs 5,000. Two different lump sums for two different events
25	b	A Medical Board . This is the 2023 answer, and the reasoning is that disablement is a medical question of degree , not of law
26	b	The EI Court decides legal disputes; the Medical Board decides medical ones. The two-body split reflects the two kinds of question
27	b	A civil suit is barred where the statute provides its own machinery - the same principle as in F3.4 for EPFO
28	c	ESI only . The two Acts are mutually exclusive on the same injury, and the 1923 Act is not available to an ESI-covered worker
29	b	Applies outside ESI . It was not repealed - it was displaced for ESI-covered workers
30	b	1 January to 30 June of the FOLLOWING year . The gap allows the record to settle
31	b	Time for the record to settle before eligibility is tested. It is a design feature of the two-window system
32	b	On death of a worker from employment injury . Not on ordinary death - that is a matter for EDLI and EPS on the EPF side

7.3 Level 3

Q	Ans	Explanation
33	a	A-2 ordinary sickness 70%; B-1 maternity 100%; C-4 disablement 90%; D-3 funeral Rs 15,000
34	a	1 and 2 only. Statement 3 is wrong: ESI is contributory on BOTH sides - 0.75 employee + 3.25 employer. The Act funded by the employer alone is the 1923 Act , not ESI
35	d	(d) is false. Ordinary sickness is 70 per cent, not 80 . The 80 per cent rate is extended sickness for specified long-term diseases
36	a	1 and 3 only. The 1923 Act has not been repealed - it applies outside ESI's coverage
37	a	The wage of Rs 20,000 is below the Rs 21,000 ceiling , so contributions are on the full Rs 20,000. Employee 0.75% = Rs 150
38	a	Employer 3.25% of Rs 20,000 = Rs 650 . Together with the employee's Rs 150 this is Rs 800, being 4% of Rs 20,000
39	d	All three correct. Medical Board on the medical question, MAT on appeal, EI Court on questions of law and legal disputes
40	b	The ESI twin of s.7A - determines contributions where returns are missing or incorrect, or contributions have been short-paid, after a reasonable opportunity of being heard
41	c	OLD AGE. ESI answers medical care, sickness, part of unemployment, employment injury, maternity, and work-caused survivors' - six of the nine . Old age is the EPF Act's territory through EPS 1995
42	d	(d) is wrong. 91 days is the maximum duration of ordinary sickness benefit; the qualifying number is 78 days' contribution. Do not confuse duration with qualifying period

8. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F3.5 - THE ESI ACT 1948

THE HEADLINE ESI answers **SIX of the ILO's nine contingencies**, the broadest single social security statute in India · *EPF saves for old age; ESI insures against everything that happens before that*

NUMBERS TO KEEP APART FROM EPF ESI threshold 10 · EPF threshold 20 · ESI ceiling Rs 21,000, Rs 25,000 for a person with disability · EPF ceiling Rs 15,000 - the ceilings run **OPPOSITE to expectation** · ESI 0.75% employee + 3.25% employer = 4% combined · EPF 12% + 12% = 24% · **Central Government contributes to EPS at 1.16%, NOT to ESI** - the opposite of the common guess

ESI WAGES ARE BROADER THAN EPF WAGES ESI includes basic + DA + **HRA** + city compensatory + overtime + payments for holidays and leave · **HRA is in ESI wages but OUT of the EPF base** · excluded from ESI wages: employer contributions to pension or PF or ESI, travelling allowance, gratuity

ADMINISTRATION ESIC = statutory body under the same Ministry · **Director General** = chief executive · **Standing Committee + Medical Benefit Council**

TWO-WINDOW SYSTEM contribution first, benefit later, three-month gap for the record to settle ·

CP1: 1 April to 30 September → BP1: 1 January to 30 June of the FOLLOWING year · **CP2: 1 October to 31 March → BP2: 1 July to 31 December of the FOLLOWING year** · the two contribution periods together cover the whole year

QUALIFYING DAYS sickness benefit needs **78 DAYS' contribution** in the relevant contribution period · **MEDICAL BENEFIT NEEDS NO QUALIFYING PERIOD - from DAY ONE, to worker AND family**

THE SIX BENEFITS - LEARN THE RATE FAMILY MEDICAL - IN KIND, day one, worker + family, no qualifying · **SICKNESS 70% for 91 DAYS, 78 days qualifying** · **EXTENDED SICKNESS 80% for up to 2 years for specified long-term diseases** · **ENHANCED SICKNESS 100% for STERILISATION** · **MATERNITY 100% for 26 WEEKS** · **DISABLEMENT 90% - temporary while unfit, permanent as a monthly payment for life proportionate to loss of earning capacity** · **DEPENDANTS' 90% on death from employment injury** · **FUNERAL Rs 15,000, CONFINEMENT (maternity supplement) Rs 5,000 - CONFIRM**

RATE LOGIC 90% for disablement and dependants' because earning capacity is lost or the worker is lost · **100% for maternity** because it is certain, of known duration and not an illness · **70% for ordinary sickness** because temporary and short - **the moral-hazard discount** · **80% extended** because a long illness is closer in shape to disablement · **100% enhanced** because sterilisation is State-encouraged

COMMONEST CONFUSIONS ordinary sickness is **70, not 80** · maternity **100, not 90** · disablement AND dependants' are **BOTH 90** · **91 days is DURATION, 78 days is QUALIFYING** - never swap them

THE MEDICAL BOARD CHAIN **MEDICAL BOARD** determines EXTENT of disablement, a **medical question of degree** · **MEDICAL APPEAL TRIBUNAL** appeals from the Medical Board · **EI COURT** (s.74) decides LEGAL disputes and appeals from the MAT on questions of law · *doctors decide medical facts, courts decide legal facts* · **a civil suit is BARRED where the EI Court has jurisdiction** **s.45A** the ESI twin of **s.7A** · empowers officers to **determine contributions** where returns are missing or incorrect, or contributions have been short-paid · **reasonable opportunity of hearing** mandatory · ex parte allowed · **appeal to the EI COURT, not the CGIT** · interest and damages provisions of ESI's own - **CONFIRM** rates · *the technique of adjudication is one technique; it moves between statutes*

MUTUAL EXCLUSIVITY an ESI-covered worker **CANNOT** claim under the Employees' Compensation Act 1923 for the same injury · employer liability (1923) is **replaced** by social insurance (ESI) for those covered · **the 1923 Act is NOT REPEALED**, it applies **outside ESI** · Code 2020 consolidates both, exclusivity survives · 1923 = *employer's personal debt*; ESI = *a pooled fund's debt* · **ANSWERED BY ESI: 1, 2, part of 3, 5, 7, 9-work** · **NOT: 4 old age, 6 family, 8 invalidity not from work**

9. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F3.5 - ESI 1948

ESI answers SIX of nine — the BROADEST single statute

COVERAGE 10 · CEILING Rs 21,000 (Rs 25,000 DISABILITY) · CG contributes NIL to ESI

RATES 0.75% + 3.25% = 4% · ESI wages INCLUDE HRA (unlike EPF)

ESIC · DG chief executive · Standing Committee · Medical Benefit Council

CP1 Apr-Sep → BP1 Jan-Jun NEXT YEAR · CP2 Oct-Mar → BP2 Jul-Dec NEXT YEAR

SICKNESS 70% for 91 DAYS, 78 DAYS QUALIFYING

EXTENDED 80% for 2 YRS · ENHANCED 100% for STERILISATION

MATERNITY 100% for 26 WEEKS · CONFINEMENT Rs 5,000

DISABLEMENT 90% · DEPENDANTS' 90% · FUNERAL Rs 15,000

MEDICAL BENEFIT: DAY ONE, WORKER + FAMILY, NO QUALIFYING

MEDICAL BOARD → MEDICAL APPEAL TRIBUNAL → EI COURT (s.74)

doctors decide MEDICAL facts · EI Court decides LEGAL facts

CIVIL SUIT BARRED where EI Court has jurisdiction

s.45A = ESI TWIN OF s.7A — hearing mandatory · appeal to EI COURT (not CGIT)

ESI-covered worker CANNOT claim under EC ACT 1923 — MUTUALLY EXCLUSIVE

1923 ACT NOT REPEALED — applies OUTSIDE ESI

NOT ANSWERED BY ESI: OLD AGE · FAMILY BENEFIT · INVALIDITY NOT FROM WORK